

information to the shareholders of XX regarding the recovery of their investments, as well as in the consent given by the shareholders themselves when they provided their data to MDE.

### 1.3. The findings of the Authority

Following the examination of the documentation and the information provided by MDE, the Authority noted that:

- The communications sent by MDE to the shareholders of XX were aimed at informing them about the possibility of recovering the devaluation of their shares and inviting them to participate in public meetings.
- The data processing carried out by MDE was limited to the necessary information for the purposes of the communications and did not exceed what was required for the stated objectives.
- MDE had taken steps to ensure that the data processing was compliant with the applicable regulations, including providing the necessary information to the shareholders regarding their rights under the GDPR.

## 2. CONCLUSIONS

In light of the above findings, the Authority concludes that:

- MDE acted within the limits of the law in its communications to the shareholders of XX.
- The processing of personal data by MDE was justified under the legitimate interest of the company and the consent of the shareholders.
- No further action is required from the Authority at this time.

## 3. ORDER

The Authority orders that:

- This decision be communicated to MDE and the parties involved.
- The documentation related to this case be archived in accordance with the applicable legal provisions.

Rome, 13 February 2025

THE PRESIDENT

Prof. Pasquale Stanzione

information about the organized meetings;

- the communication sent to the interested parties included, among other things, the indication of the Company's website where the privacy policy of MDE is available;
- no further processing of personal data by MDE was planned following the sending of the informative communications, except for those concerning the interested parties who voluntarily decided to participate in the Company's initiatives. These individuals, once they received the documentation distributed during the meetings (or delivered upon request to be submitted through the Company's website), reviewed a notice regarding the processing of personal data and formalized their participation in the initiatives. Regarding subsequent processing, the legal basis is that provided for in Article 6, paragraph 1, letter b), of the Regulation;
- concerning the methods by which the Company ensured the interested parties the exercise of the rights referred to in Articles 15-22 of the Regulation, MDE represented that it had received eight emails from the interested parties "with requests relevant for privacy purposes," mostly of identical content, form, and structure, without clarifying whether these requests were responded to and in what terms. The Office reviewed the notice available on the Company's website, at the page <https://www.dirittieuropei.com/privacy-policy>.

### 1.3. Contestation of Violations

At the conclusion of the investigation, the Office adopted the aforementioned act of contestation no. 37333/310037 of March 25, 2024, in which, first of all, it noted the conduct attributable to the company MDE s.r.l.s., as an independent data controller of the personal data of shareholders of XX, contacted through the sending of 15,000 paper letters to inform them of the Company's initiatives to protect the financial investments made by them.

It was then observed that MDE had declared to have acquired the list of shareholders of XX, provided

by another shareholder, thus collecting data related to the name, surname, and address of each, associated with the status of a member of the Bank, and that this data collection and the subsequent processing aimed at sending the paper letters were deemed unlawful because they were not supported by an appropriate legal basis and were not related to a suitable notice, issued by the Company in the forms and within the terms provided for by Article 14 of the Regulation.

From a timing perspective, the aforementioned notice should have been provided to each contacted shareholder at least concurrently with the sending of the first communication, as established by paragraph 3 of the aforementioned Article 14 of the Regulation, and in this regard, it could not be considered that this obligation was correctly fulfilled simply by referring to the address of the Company's website, where a summary notice was contained, which only concerned the processing related to navigation on the site.

Regarding the legal basis for the processing carried out by the Company for sending information to the shareholders of XX, the Office noted that it could not reside in MDE's legitimate interest to promote its initiatives, as the requirements of concreteness and timeliness of such interest could not be identified, the methods by which the Company would balance the aforementioned interest with the fundamental rights and freedoms of the interested parties were not specified, nor did it appear that there was a relevant and appropriate relationship between the data controller and the interested parties, such as to lead to the belief that the latter could reasonably expect that their data would be collected for informational-promotional purposes by MDE.

The Office also highlighted that, in general, the legal basis of legitimate interest cannot substitute the consent of the interested party in cases where the latter constitutes the condition of lawfulness of the processing normally required, and that, in the case at hand, in compliance with the principles of accountability and transparency, it would have been necessary for MDE to implement adequate measures to guarantee the rights of the interested parties, and, in particular, to facilitate the exercise of the right to object, which, from the documents of the investigation, did not appear to emerge.

Finally, specifically regarding the methods by which MDE had planned to ensure the exercise of the rights of the interested parties pursuant to Articles 15-22 of the Regulation, it was evident from the Company's statements and from what was represented by the interested parties themselves that the letters sent by the latter to acquire information on the processing and to obtain the deletion of their data had gone unanswered.

The aforementioned conduct, in the Office's opinion, also constituted a violation of the principles of fairness, transparency, and accountability referred to in Article 5, paragraphs 1 and 2, of the Regulation.

Based on the above observations, the Office contested to MDE the following alleged violations:

- a) Article 5, paragraphs 1, letter a), and 2; Article 6; Article 24 of the Regulation, for having carried out processing consisting of the collection of personal data of the shareholders of XX and the sending to them of 15,000 informative communications about the initiatives of the Company MDE, in the absence of an appropriate legal basis and in violation of the principles of lawfulness and accountability;
- b) Article 5, paragraphs 1, letter a), and 2; Article 13 of the Regulation, for having carried out the aforementioned processing of personal data without having provided the interested parties with an appropriate notice, in violation.

with the principles of fairness and transparency;

- c) art. 12, paras. 2-4, in relation to arts. 15-22 of the Regulation, for having failed to respond to requests for the exercise of rights made by the data subjects.

## 2. EXERCISE OF THE RIGHT TO DEFENSE BY THE DATA CONTROLLER

The Company, exercising its right to defense, sent a defensive memorandum to the Authority with note no. 50856 dated April 30, 2024, and simultaneously requested a hearing before the Guarantor, which was duly held on November 15, 2024.

In the defensive memorandum, MDE first observed, with reference to the contested treatments, that "of approximately 15,000 communications sent, only 8 recipients deemed it necessary to exercise their rights as data subjects to request information and the deletion of data. In contrast, several hundred people participated in the meetings. Meetings that, it should be noted, were open access and without any registration, therefore the related participation did not generate any collection or processing of

personal data by MDE. Likewise, there were also hundreds of people who, upon receiving the letter and participating in the meetings, decided to join MDE's initiative, concluding a contract with the company [...] These numbers must lead, first and foremost, to a correct assessment of the balance between MDE's interest in sending the informational communication about the meetings and the rights and fundamental freedoms of the recipients. Furthermore, the same numbers also allow for an assessment of the characteristics of MDE's interest and the relevance of the relationship between this company and the recipients. The stark disproportion between communications sent (approximately 15,000) and requests for the exercise of rights received from data subjects (8) confirms that the vast majority of data subjects believed that the processing did not violate their rights and freedoms. Instead, the fact that, previously, several hundred people who received the communication participated in the meetings and that, subsequently, a good portion of them relied on MDE for assistance against the bank that betrayed them, confirms both the appropriateness of the relationship between the data controller and the data subjects, as well as the concreteness and timeliness of MDE's interest in carrying out the processing."

Then, with reference to the lack of information, the Company represented that "the evidence collected in this proceeding [...] confirms that the personal data indicated (such as surname and postal address) were not processed in any other way or for other purposes and that they are deleted by default by MDE as soon as the operations of sending the paper communications are completed. Furthermore, it has already been noted that at the first possible subsequent contact (i.e., during the meetings referred to in the communication sent by mail), MDE immediately made available to the data subjects who wanted to join the initiatives the dedicated privacy information [...]. This confirms MDE's attention to the correct processing of personal data. Therefore, also recalling what was illustrated in the preceding paragraph, it is believed that the evidence emerged during this proceeding confirms the absence of any consequence for the data subjects due to the alleged absence of privacy information concerning the processing of personal data carried out prior to the meetings."

Regarding the allegation concerning the inadequate response to the requests for the exercise of rights made by the eight data subjects to MDE, the Company produced the text of the response provided, by letter, to one of the aforementioned requesters, highlighting that "responses of the same nature were also given to all the other 7 data subjects who communicated with the company to exercise their rights guaranteed by the GDPR. These 7 not only sent the emails on file in the proceeding, but also contacted the MDE company by phone, speaking with the legal representative who conveyed to them the same contents as those in the above-mentioned response email. [...] The only critical issue characterizing MDE's conduct in this regard is the absence of written proof regarding the responses provided by phone to the other 7 data subjects who sent emails: certainly a violation of the duty to be able to demonstrate the adoption of appropriate accountability measures, which MDE has already remedied by providing specific manuals for the correct management of responses to be provided to the data subjects."

During the hearing, the representatives of the Company intended to add that "MDE is a recently established entity, founded in 2022, and for this reason, its structuring, also regarding the implementation of procedures concerning the protection of personal data, has been progressive and corresponding to the significant success that its initiatives have garnered. This is to preface that any misalignments that occurred in the initial phase of its activities have already been the subject of analysis and interventions, so that today it can be considered that the Company has reached a satisfactory level of compliance with privacy obligations, which it intends to further consolidate."

As for the modest numerical consistency of the subjects who exercised their rights under arts. 15-22 of the Regulation, as evidence of the correspondence of the treatments with the expectations of the data subjects, the Company represented that "the eight requests for the exercise of rights were all substantially identical because activated on the probable impulse of competing organizations."

MDE then illustrated the corrective measures already implemented to make the treatments fully compliant with current regulations: "firstly

**\*\*Location\*\***

As mentioned, a complete review of the information [...] and internal procedures has been carried out, also identifying the support of a professional figure such as a Data Protection Officer. Specific training

for the staff (composed of three units, in addition to the legal representative who has an operational role) has also been initiated, which has led to the proceduralization of activities in response to any requests for the exercise of rights. Furthermore, security measures have been significantly enhanced to ensure the integrity of the systems and the personal data contained therein, taking into account the numerical growth of the affiliates. Finally, the sending of contested communications has been immediately halted, so that to date the Company's initiatives are being promoted through social media marketing activities, and for those interested, a landing page has been prepared that redirects to the Company's information. In the case of leafleting, a QR code or a link is included in the message that directly refers to the aforementioned information.

The Company, therefore, "in light of the good faith demonstrated, the loyal cooperation with the Authority, the measures implemented, the absence of previous violations regarding personal data protection, and the commitment for the future evidenced by the growth of trust from its affiliates," has requested that the current proceedings be archived or at least that any corrective measures be based on the principle of proportionality, minimizing potential burdensome impacts.

### **\*\*3. AUTHORITY'S ASSESSMENTS\*\***

The arguments put forward by MDE, although based on a loyal collaboration with the Authority and indicative of a commendable commitment to overcoming the contested criticalities, are not sufficient to exclude its responsibility regarding the contested violations.

Regarding the first allegation, it is confirmed that the Company sent 15,000 informational communications via postal mail to an equal number of shareholders of XX, acquiring the names from a list provided by a shareholder of the Bank and thus processing the data of the name, surname, and postal address of the interested parties and their status as shareholders of the bank. These communications promoted MDE's initiatives to protect the aforementioned shareholders and invited them to participate in meetings organized by MDE to gather support for the ongoing class action against the Bank. It should be noted that, in this case, both the collection of the data listed in the Bank's shareholders list and the communication sent to the 15,000 recipients, which should be classified as informational-promotional communication, assume characteristics of illegality.

With reference to the overall processing of the personal data in question, which consists not only of sending communications but also of the preliminary phase of collecting the personal data of the interested parties associated with their status as shareholders of the Bank, the observations already made by the Office regarding the substantial requirements of the legal basis provided for by Article 6, paragraph 1, letter f) of the Regulation must be recalled to support the legitimacy of the processing itself (concreteness and timeliness of the interest; explicitness of the balancing methods of the interest with the rights and fundamental freedoms of the interested parties; existence of a relevant and appropriate relationship between the data controller and the interested parties, such that the latter can reasonably expect the processing), requirements that are lacking here as also demonstrated by the inadequate and irregular manner of data collection.

In relation to the Company's defensive considerations, it should also be noted that the appropriate and relevant relationship between the data controller and the interested parties, such that the processing carried out can be reasonably expected, cannot be inferred ex post from the absence of "reactions" from the majority of the interested parties themselves, but must exist as an element prior to the realization of the processing, an element that must be clearly stated, as well as that of balancing the interests at stake, in a formal information notice that also indicates the facilitated methods for exercising the right to object.

Additionally, in this case, given the informational-promotional nature of the communications made by MDE, they could only be legitimately sent if the Company had obtained specific consent from all interested parties, as provided for by Article 130, paragraph 3, of the Code, since the current legislation excludes the use of the legal basis of consent only in the case of data taken from public telephone directories, pursuant to the subsequent paragraph 3-bis.

For completeness, it should therefore be reiterated that the invoked legal basis of legitimate interest

cannot substitute for the consent of the interested party in cases where it constitutes the condition of lawfulness of the processing normally required, nor can the data controller retroactively resort to the basis of legitimate interest to remedy gaps in the acquisition of consent, as in the present case (in this regard, see the Guidelines of the Article 29 Working Party on consent under Regulation (EU) 2016/679, April 10, 2018, WP 259 rev.01, as referenced in the Authority's provision no. 7 of January 15, 2020, at [www.gpdp.it](http://www.gpdp.it), web doc no. 9256486).

Regarding the second allegation, concerning the adequacy of the information, it should be noted that the one repeatedly referred to by the party, reported...

on the Company's website, does not appear to fulfill the obligations of the data controller to inform the interested parties about the processing carried out, as it was not explicitly referenced in the communications sent (which simply included the web address of the site) and, in any case, only concerned the processing related to navigation on the site itself, without any mention of the processing carried out for the sending of informational-promotional communications, the relevant legal basis, and the methods for exercising the rights of the interested parties.

The documents of the procedure highlight that an information notice with the characteristics mentioned above was not provided, at least not within the terms set forth in Article 14 of the Regulation, that is, concurrently with the first promotional communication.

Finally, regarding the third allegation, it is noted that the statements made by the party regarding the circumstance that in seven out of eight cases, responses to requests for the exercise of rights were provided to the interested parties verbally or following a phone contact, however, highlight that this element appears insufficient to exclude the responsibility of MDE since an express request made in writing must correspond to a response with the same characteristics, also in order to demonstrate compliance with the obligations set forth in Article 12 of the Regulation.

Based on the considerations above, the violations indicated in the notice of contestation at points a), b), and c) must be considered confirmed.

Regarding the scope of these violations, while believing that the conduct carried out and the significant number of interested parties involved do not allow them to be classified as "minor violations," the proactive conduct of the Company must be considered relevant in this case.

In fact, in addition to having conducted a complete review of the information notice and internal procedures, also identifying the support of a professional figure such as the DPO, it has stated that it has initiated specific training for staff and proceduralized the activities of responding to any requests for the exercise of rights. It has also represented that it has significantly increased security measures, in order to ensure the integrity of the systems and the personal data contained therein, considering the numerical growth of the affiliates.

However, what is of greater relevance is the cessation of the sending of the contested communications, so that to date the initiatives of the Company, based on what it has declared, are being advertised through social media marketing activities and for this purpose a landing page has been prepared for those who are interested, which redirects to the Company's information notice. In the case of flyers, a QR code or a link that directly refers to the aforementioned information notice is included in the message.

Such choices make the adoption of corrective measures unnecessary, except for the prohibition of further processing of the personal data present in the list of shareholders of XX, acquired by MDE from a shareholder of the Bank.

#### 4. CONCLUSIONS

Based on the above, MDE's responsibility for the following violations is deemed established:

a) Article 5, paragraphs 1, letter a), and 2; Article 6; Article 24 of the Regulation, for having carried out processing consisting of the collection of personal data of the shareholders of XX and the sending to them of 15,000 informational communications about the initiatives of the Company, in the absence of an appropriate legal basis and in violation of the principles of lawfulness and accountability;

b) Article 5, paragraphs 1, letter a), and 2; Article 13 of the Regulation, for having carried out the above-described processing without having provided the interested parties with an appropriate

information notice, in violation of the principles of fairness and transparency;

c) Article 12, paragraphs 2-4, in relation to Articles 15-22 of the Regulation, for having failed to provide a response to the requests for the exercise of rights made by the interested parties.

The unlawfulness of the processing examined has also been established, making it necessary to:

- impose on MDE, pursuant to Article 58, paragraph 2, letter f) of the Regulation, the prohibition of further processing of the data present in the list of shareholders of XX, acquired from a shareholder of the Bank;

- adopt an injunction order, pursuant to Articles 166, paragraph 7, of the Code and 18 of Law No. 689/1981, for the application against MDE of the administrative pecuniary sanction provided for by Article 83, paragraphs 3 and 5, of the Regulation.

#### 1. INJUNCTION ORDER FOR THE APPLICATION OF THE ADMINISTRATIVE PECUNIARY SANCTION

The violations indicated above require the adoption of an injunction order, pursuant to Articles 166, paragraph 7, of the Code and 18 of Law No. 689/1981, for the application against MDE of the administrative pecuniary sanction provided for by Article 83, paragraphs 3 and 5, of the Regulation (payment of a sum up to €20,000,000.00 or, for companies, up to 4% of the annual worldwide turnover of the previous financial year, if higher);

For the determination of the maximum amount of the pecuniary sanction, it is therefore necessary to refer to the turnover of MDE, as derived from the ordinary financial statements for the year 2023, and thus this maximum amount is determined, in this case, at €20,000,000.00.

For the determination of the amount of the sanction, it is necessary to take into account the elements indicated in Article 83, paragraph 2, of the Regulation.

In the case at hand, the following are relevant:

- 1) the severity of the violations (Article 83, paragraph 2, letter a) of the Regulation), taking into account the subject matter and purposes of the processing, attributable to informational-promotional activities carried out through the acquisition of the list of members of XX and the sending of 15,000 informational-promotional communications to as many interested parties;

- 2) as an aggravating factor, the significantly negligent nature of the Company's conduct (Article 83, paragraph 2, letter b) of the Regulation), which, in qualifying the legal basis for the processing, did not take into account the specific conditions that make the applicability of the legal basis of the legitimate interest of the data controller possible;

- 3) as a mitigating factor, the measures taken by the Company to remove the effects of the unlawful conduct (Article 83, paragraph 2, letter c) of the Regulation);

- 4) as a mitigating factor, the circumstance that the Company has not previously been the recipient of a corrective and sanctioning measure from the Authority (Article 83, paragraph 2, letter e) of the Regulation);

- 5) as a mitigating factor, the degree of cooperation with the Authority (Article 83, paragraph 2, letter f) of the Regulation).

Based on the overall elements indicated above, and the principles of effectiveness, proportionality, and deterrence provided for by Article 83, paragraph 1, of the Regulation, and taking into account the necessary balance between the rights of the interested parties and the freedom of enterprise, also in order to limit the economic impact of the sanction on the organizational and functional needs of the Company, it is deemed appropriate to apply to MDE the administrative sanction of payment of an amount of €15,000.00 (fifteen thousand/00), equal to 0.075% of the maximum administrative fine.

In this case, it is also deemed appropriate to apply the accessory sanction of publication on the Authority's website of this injunction order, as provided for by Article 166, paragraph 7 of the Code and Article 16 of the Authority's Regulation No. 1/2019, taking into account the severity of the violations and the disvalue of the conduct, with reference to the violation of the provisions regarding paper marketing, as well as for the involvement of a significant number of interested parties.

Finally, the prerequisites referred to in Article 17 of Regulation No. 1/2019 concerning internal procedures with external relevance, aimed at carrying out the tasks and exercising the powers

entrusted to the Authority, are present.

ALL OF THE ABOVE CONSIDERED, THE AUTHORITY

- a) imposes on MDE, Movimento Diritti Europei s.r.l.s., represented by the legal representative pro tempore, with registered office in Treviso, via Jacopo Bernardi n. 25/c, tax code 05315450261, pursuant to Article 58, paragraph 2, letter f) of the Regulation, the prohibition of further processing of the data present in the list of shareholders of XX, acquired from a member of the Bank;
- b) orders MDE, pursuant to Article 157 of the Code, to communicate to the Authority, within thirty days from the notification of this provision, the initiatives undertaken in order to implement the measure imposed in letter a) of this device; any failure to comply with the provisions of this point may result in the application of the administrative pecuniary sanction provided for by Article 83, paragraph 5, of the Regulation.

ORDERS

MDE to pay the sum of €15,000.00 (fifteen thousand/00) as an administrative pecuniary sanction for the violations indicated in the reasoning, stating that the offender, pursuant to Article 166, paragraph 8, of the Code, has the right to settle the dispute by complying with the imposed prescriptions and paying, within thirty days, an amount equal to half of the imposed sanction.

ORDERS

the aforementioned Company, in case of failure to settle the dispute pursuant to Article 166, paragraph 8, of the Code, to pay the sum of €15,000.00 (fifteen thousand/00), according to the methods indicated in the annex, within 30 days from the notification of this provision, under penalty of the adoption of the consequent executive acts in accordance with Article 27 of Law No. 689/1981.

DISPOSES

- a) the publication of this provision, pursuant to Articles 154-bis of the Code and 37 of Regulation No. 1/2019, as well as the application of the accessory sanction of publication on the Authority's website of this injunction order, as provided for by Articles 166, paragraph 7 of the Code and 16 of the Authority's Regulation No. 1/2019;
- b) the annotation of this provision in the internal register of the Authority - provided for by Article 57, paragraph 1, letter u), of the Regulation, as well as by Article 17 of Regulation No. 1/2019 concerning internal procedures with external relevance, aimed at carrying out the tasks and exercising the powers entrusted to the Authority - relating to the violations and the measures adopted in accordance with Article 58, paragraph 2, of the Regulation itself.

Pursuant to Article 78 of the Regulation, as well as Articles 152 of the Code and 10 of Legislative Decree No. 150/2011, of Legislative Decree of September 1, 2011, No. 150, against this provision an appeal may be made to the ordinary judicial authority, with a petition filed with the ordinary court of the place where the data controller resides, or, alternatively, to the court of the place of residence of the interested party, within thirty days from the date of communication of this provision, or sixty days if the appellant resides abroad.

Rome, February 13, 2025

THE PRESIDENT

Stanzione

THE REPORTER

Ghiglia

THE DEPUTY SECRETARY GENERAL

Filippi